

UNIT–4: Sales Promotion

1. Explain the Differences between Personal Selling and Advertising.

Introduction

Personal Selling and **Advertising** are two important promotional tools used by businesses to communicate with customers and increase sales. Both help in promoting products and services, but they differ in their method of communication, cost, customer interaction, and objectives.

Personal Selling involves direct communication between a salesperson and a customer, whereas **Advertising** is a paid, non-personal form of communication through media such as television, newspapers, radio, and the internet. Understanding these differences helps businesses choose the most suitable promotional method.

Difference between Personal Selling and Advertising

Personal Selling	Advertising
Personal selling is direct communication between the salesperson and the customer.	Advertising is a non-personal form of communication through different media.
It involves face-to-face or direct interaction.	It reaches customers through television, newspapers, radio, internet, and social media.
It is suitable for a limited number of customers.	It can reach a large number of customers at the same time.
Customers can ask questions and receive immediate answers.	There is no direct interaction or immediate feedback.
It is more expensive per customer.	It is less expensive per customer when reaching a large audience.

The sales message can be changed according to customer needs.

It focuses on building long-term customer relationships.

It uses two-way communication.

It is suitable for costly and technical products. *(Extra Point)*

The same advertisement is shown to all customers.

It mainly creates awareness and promotes the brand.

It mainly uses one-way communication. *(Extra Point)*

It is suitable for mass-market products. *(Extra Point)*

Advantages of Personal Selling

1. Two-Way Communication

Customers can ask questions, and the salesperson can provide immediate answers.

2. Builds Customer Relationships

Personal interaction helps develop trust, customer satisfaction, and long-term loyalty.

3. Personalized Selling

The salesperson can explain the product according to the customer's needs and preferences.

4. Immediate Feedback *(Extra Point)*

The salesperson can immediately understand the customer's opinion and respond accordingly.

Advantages of Advertising

1. Wide Reach

Advertising can reach a large number of customers across different cities and countries.

2. Creates Brand Awareness

Regular advertisements help customers recognize and remember the brand.

3. Cost Effective for Large Markets

A single advertisement can reach millions of customers, reducing the cost per customer.

4. Supports Sales Promotion (*Extra Point*)

Advertising creates awareness before customers visit stores or contact salespeople.

Importance of Using Both Together (*Extra Point*)

- Advertising creates awareness.
 - Personal selling converts interested customers into buyers.
 - Together, they increase sales and customer satisfaction.
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Conclusion

Personal selling and advertising are both essential promotional tools. Personal selling focuses on direct communication, personalized service, and relationship building, while advertising focuses on creating awareness among a large audience. Businesses should use both methods together to improve sales performance, strengthen customer relationships, and achieve long-term marketing success.

2. What are the Types of Sales Promotion and Sales Promotion Strategies?

Introduction

Sales Promotion is a short-term marketing technique used to encourage customers to purchase products or services immediately. It provides additional benefits such as discounts, coupons, gifts, cashback, and special offers to increase sales. Sales promotion also helps businesses introduce new products, clear old stock, attract new customers, and face market competition.

Types of Sales Promotion

1. Consumer Sales Promotion

Meaning

Consumer sales promotion is directed towards **final customers** to encourage immediate purchases.

Examples

- Discounts
- Coupons
- Free samples
- Cashback offers
- Buy One Get One Free (BOGO)
- Contests and lucky draws

Objective

To attract customers, increase product trials, and boost sales.

2. Trade Sales Promotion

Meaning

Trade sales promotion is aimed at **wholesalers, distributors, and retailers** to encourage them to stock, display, and promote the company's products.

Examples

- Trade discounts
- Dealer incentives
- Free goods
- Display allowances

Objective

To motivate dealers to sell more of the company's products.

3. Sales Force Promotion

Meaning

Sales force promotion motivates the company's **salespeople** to improve their performance and achieve sales targets.

Examples

- Bonuses
- Sales contests
- Incentives
- Awards
- Recognition programs

Objective

To increase the motivation and efficiency of the sales force.

Sales Promotion Strategies

1. Discount Strategy

The company offers products at reduced prices for a limited period to encourage immediate purchases.

Example: Flat 30% off during a festive sale.

2. Coupon Strategy

Customers receive coupons that provide discounts on future purchases.

Example: "Get ₹100 off on your next purchase."

3. Free Sample Strategy

Companies distribute free product samples so customers can try new products before purchasing.

Example: Free shampoo sachets with newspapers.

4. Premium Offer Strategy

Customers receive gifts or additional products along with their purchases.

Example: Buy a toothpaste and get a free toothbrush.

5. Contest and Lucky Draw Strategy

Customers participate in contests or lucky draws to win attractive prizes.

Example: Buy a product and stand a chance to win a smartphone.

6. Loyalty Program Strategy

Companies reward regular customers with points, discounts, cashback, or exclusive offers.

Example: Loyalty points earned through supermarket membership cards.

Advantages of Sales Promotion

1. Increases Sales

Special offers encourage customers to make immediate purchases.

2. Attracts New Customers

Promotional schemes motivate first-time buyers to try the product.

3. Clears Old Stock

Sales promotion helps businesses sell slow-moving or excess inventory.

4. Faces Competition

Attractive offers help companies compete effectively with rival brands.

5. Improves Customer Loyalty (*Extra Point*)

Loyalty programs and rewards encourage repeat purchases and strengthen customer relationships.

Conclusion

Sales promotion is an effective marketing tool that encourages customers to purchase products through attractive offers and incentives. Different types of sales promotion and promotional strategies help businesses increase sales, attract new customers, build customer loyalty, and achieve long-term market growth.

3. Explain about Sales Promotion and Product Life Cycle.

Introduction

The **Product Life Cycle (PLC)** refers to the different stages through which a product passes from its introduction into the market until its decline. The four stages of the Product Life Cycle are **Introduction, Growth, Maturity, and Decline**.

Sales Promotion plays an important role at every stage of the Product Life Cycle by creating awareness, increasing sales, attracting new customers, maintaining customer loyalty, and maximizing profits. Companies use different promotional techniques at each stage according to market conditions.

Product Life Cycle (PLC) Stages and Sales Promotion

1. Introduction Stage

Meaning

This is the stage when a **new product is launched** into the market. Customers are not familiar with the product, so sales are usually low.

Sales Promotion Used

- Free samples
- Introductory discounts
- Product demonstrations
- Heavy advertising

Objective

The main objective is to **create product awareness** and encourage customers to try the new product.

Example: A new soft drink brand offers free samples in supermarkets.

2. Growth Stage

Meaning

At this stage, customers start accepting the product, and **sales increase rapidly**.

Sales Promotion Used

- Loyalty programs
- Attractive offers
- Dealer incentives
- Bonus packs

Objective

The objective is to **increase market share**, attract more customers, and encourage repeat purchases.

Example: A mobile company offers exchange bonuses to attract more buyers.

3. Maturity Stage

Meaning

In this stage, the product reaches its **highest sales level**, and competition becomes very high.

Sales Promotion Used

- Price discounts
- Buy One Get One Free (BOGO)
- Cashback offers
- Coupons

Objective

The objective is to **maintain sales**, retain existing customers, and compete with rival brands.

Example: A toothpaste company offers "Buy 2 Get 1 Free."

4. Decline Stage

Meaning

Sales begin to **decrease** because of changing customer preferences, new technologies, or new competing products.

Sales Promotion Used

- Clearance sales
- Heavy discounts
- Bundle offers
- Stock liquidation offers

Objective

The objective is to **sell the remaining stock** before discontinuing the product.

Example: A clothing store offers "Flat 70% Off – Clearance Sale."

Importance of Sales Promotion in the Product Life Cycle

1. Creates Product Awareness

Sales promotion helps introduce new products to customers during the introduction stage.

2. Increases Sales

Discounts, offers, and incentives encourage customers to purchase products.

3. Maintains Customer Interest

Regular promotional activities keep customers interested throughout the product's life cycle.

4. Improves Market Share

Promotional schemes help businesses compete effectively and attract more customers.

5. Builds Customer Loyalty (*Extra Point*)

Loyalty programs and rewards encourage repeat purchases and strengthen customer relationships.

Conclusion

Sales promotion is an essential marketing tool throughout the **Product Life Cycle**. Different promotional techniques are used at each stage to create awareness, increase sales, maintain customer interest, improve market share, and maximize profits. By using the right sales promotion strategy at the right stage, businesses can extend the life of their products and achieve long-term success.